

Finance ?

- You would like to buy a good cell phone
- You have TK 100,000 available in your hand
- You will require TK100,000 for your tuition after 6 months
- You would like to send TK10,000 to your parent living in village
- You are thinking to start a business and needs approx. TK500,000
- A public limited firm is considering to expand it's business that requires TK5,000,0000
- Government is planning to construct a new road to connect two big cities to expand facilities for the populations
- etc

Topic – 1

An Overview of Managerial Finance

- Career Opportunities
- Overview of Finance
- Finance principles
- Issues of the New Millennium
- Forms of Businesses
- Goals of the Corporation
- Agency Relationships

Finance define

Management of fund, i.e.,

- *Collection of fund (Sources??)*
- *Allocation of fund (where to and how to)*

to accelerate *value of the firm through increasing the efficiency of the firm*

How to.....?

- Future positive cash flow for a business
- Financial assets (increasing)
- *Risk (managing)*

☞ fund management, time and ??

 Savings  Lending

Features of Finance

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graph TD; A[Features of Finance] --- B[1. Investment Opportunities]; A --- C[2. Profitable Opportunities]; A --- D[3. Optimal Mix of Funds]; A --- E[4. System of Internal Controls]; A --- F[5. Future Decision Making];
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1. Investment Opportunities

2. Profitable Opportunities

3. Optimal Mix of Funds

4. System of Internal Controls

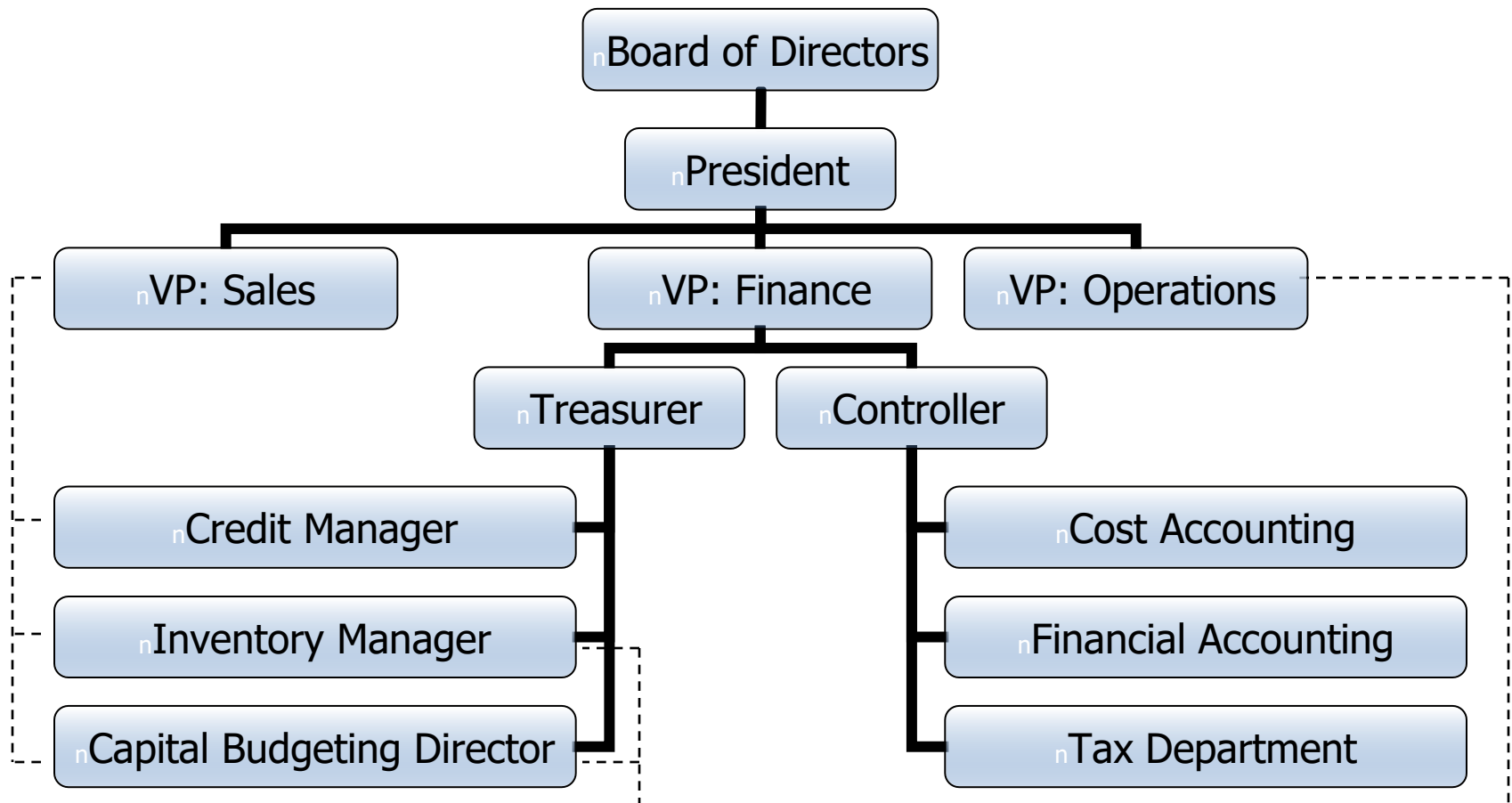
5. Future Decision Making

Types of Finance

Three basic types (*look at the examples given in the first slide*)

- *Personal/Entrepreneurial Finance*
- *Public/Government Finance*
- *Corporate/Managerial Finance*

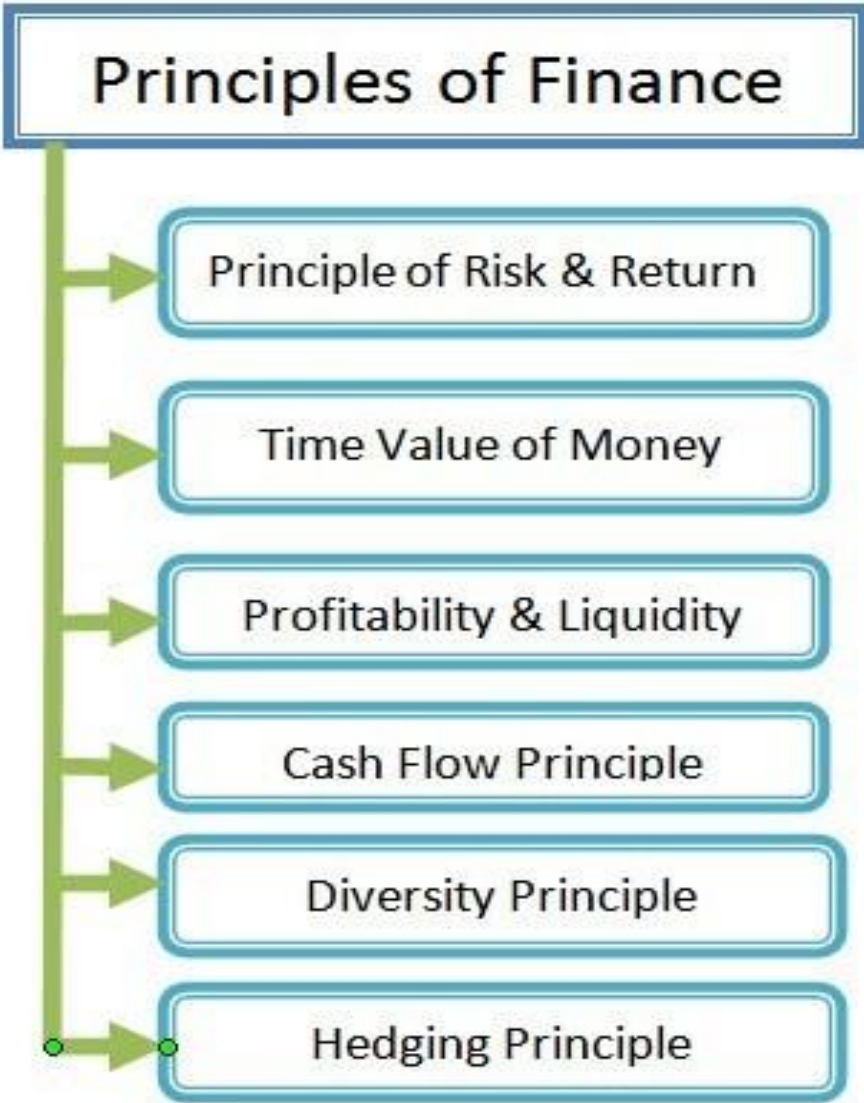
Role of Finance in a Typical Business Organization



Responsibility of the Financial Staff

- **Basic responsibilities:**
 - Forecasting and planning
 - Investment and financing decisions
 - Coordination and control
 - Transactions in the financial markets
 - Managing risk

Principles of Finance



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graph TD; A[Principles of Finance] --- B[Principle of Risk & Return]; A --- C[Time Value of Money]; A --- D[Profitability & Liquidity]; A --- E[Cash Flow Principle]; A --- F[Diversity Principle]; A --- G[Hedging Principle];
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Principle of Risk & Return

Time Value of Money

Profitability & Liquidity

Cash Flow Principle

Diversity Principle

Hedging Principle

Financial Management Issues of the New Millennium

- The effect of changing technology (FinTech, MFS, DFS, Bank 4.0 etc)
- The globalization of business

Alternative Forms of Business Organization

- Sole proprietorship
- Partnership
- Corporation

Sole proprietorships & Partnerships

- Advantages
 - Ease of formation
 - Subject to few regulations
 - No corporate income taxes
- Disadvantages
 - Difficult to raise capital
 - Unlimited liability
 - Limited life

Corporation

- Advantages
 - Unlimited life
 - Easy transfer of ownership
 - Limited liability
 - Ease of raising capital
- Disadvantages
 - *Double taxation*
 - Cost of set-up and report filing

Financial Goals of the Corporation

- The primary financial goal is shareholder wealth maximization, which translates to maximizing stock price.
 - Do firms have any responsibilities to society at large? (CSR)
 - Is stock price maximization good or bad for society?
 - Should firms behave ethically?

Goal of corporation - *continued*

- The primary financial goal is shareholder wealth maximization, which translates to maximizing stock price and ultimately maximize the value of the firm.

How,
$$V_F = Book_d + PS_{it}$$

Is stock price maximization the same as profit maximization?

- No, despite a generally high correlation amongst stock price, EPS, and cash flow.
- Current stock price relies upon current earnings, as well as future earnings and cash flow.
- Some actions may cause an increase in earnings, yet cause the stock price to decrease (and vice versa).

Agency relationships

- An agency relationship exists whenever a principal hires an agent to act on their behalf.

Who are agent? Who are principal?

- Within a corporation, agency relationships exist between:
 - Shareholders and managers
 - Shareholders and creditors

Shareholders versus Managers

- Managers are naturally inclined to act in their own best interests.
- But the **following factors** affect managerial behavior:
 - Managerial compensation plans
 - Direct intervention by shareholders
 - The threat of firing
 - The threat of takeover

Shareholders versus Creditors

- Shareholders (through managers) could take actions to maximize stock price that are detrimental to creditors.
 - *to promote equity financing*
- In the long run, such actions will raise the cost of debt and ultimately lower stock price.

Exercises/Case analysis

A case to be written on personal finance/managerial finance. Points should be included but are not limited to:

- Basic concepts
- Design
- Problem statements
- Possible solutions

Online material: [Here's How to Feel in Control of Your Finances Right Now \(hbr.org\)](https://hbr.org/feature/online-material/2016/06/here-s-how-to-feel-in-control-of-your-finance-right-now)